

of regulatory risks. They have tried to become a one-stop-shop for payments. But, they will have to cut down on the many things they do to become a profitable payments super app,” says Jhunjhunwala.

However, JPMorgan, in a report, said Paytm has built more sources of monetisation across payments, commerce and financial services, which gives the company a unique ability to drive profits across several segments at lower CAC (customer acquisition cost) than its peers.

## COSMETICS PLAY

Unlike the heavily loss-making Zomato and Paytm, Nykaa was the only profitable unicorn to enter the public markets recently. However, it too had its share of troubles as its stock hit an all-time low in October. The Falguni Nayar-led company's public market troubles can be tied back to a long-pending correction of the astronomical valuations that start-ups had managed

to achieve in the past few years. Besides, macroeconomic factors that were spooking global equity markets were also affecting Indian investors. Nykaa—that was valued at close to \$2 billion in its last pre-IPO round—sought a valuation of \$8 billion with the IPO—and its market cap soared to \$13 billion following a blockbuster debut.

The company's operating efficiency in the beauty and personal care (BPC) category has given it a strong market share of about 25 per cent, Japanese brokerage firm Nomura stated in a report. The company has a strong moat led by higher scale, exclusive brand tie-ups, a BPC-focussed app, omnichannel sales and a strong influencer network, the report added. Nykaa is also the only profitable large online BPC retailer among peers like Myntra, Purple and MyGlamm. Led by high repeat customers and a large user base, Nykaa is likely set to grow its BPC

revenue at a fast clip of 32.4 per cent between CY20 and CY25 and is likely to maintain its dominance in the segment with a 26.8 per cent market share, an Elara Capital report said in October.

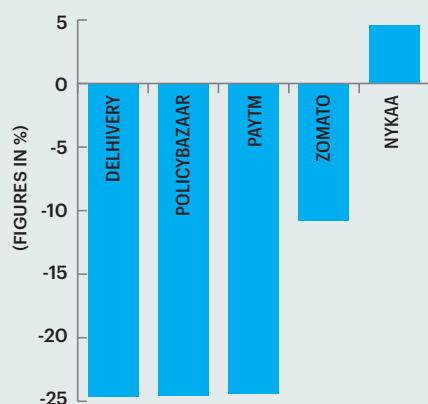
“They [Nykaa] have a compelling play in BPC where they have a first-mover advantage, a sizeable market share, a premium customer base and a proven unit economics model with strong margins. Going ahead, online BPC margins can... even double in the next three years. Effective execution of the fashion vertical, given competition intensity and high discounting, is a major challenge,” says Karan Taurani, Senior Vice President at Elara Capital. Nayar, during the Q2 results, said the company is building a unique customer proposition in fashion aided by investments in a differentiated product mix, collaborations with global brands and expansion in the breadth and depth of its owned brand portfolio.

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### RETURN ON EQUITY



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### THE FABLE OF START-UP LISTINGS

